Desmukh to become the first Indian Governor of the RBI but also redressed 'the bitterly adversarial relations between the GoI and the RBI during Grigg's tenure to a wondrously cordial level both with James Taylor and his successor Deshmukh, which was so critical to the success of Indian war finance.'[5] He also respected the autonomy of the RBI and viewed the Board of Directors as a valuable sounding board.

Deshmukh was appointed as the liaison officer in July 1939, the immediate impulse being Nanavati's failing health. Nanavati was due to retire in October 1941 and Deshmukh had been brought to the bank in the hope that he would shape up well enough to fill that vacancy. With the outbreak of the Second World War, exchange control was unavoidable and P.S. Beale's last two months were occupied by the drafting of Exchange Control Regulations. When Beale left in September 1939, Deshmukh took over as Secretary to the Central Board.[6] He was also given the additional charge of Custodian of Enemy Property. But Taylor soon realized that Deshmukh was overburdened, and in November he was relieved of this distasteful work. It was a testing time for Deshmukh who had to get accustomed to the unfamiliar work, aggravated by war conditions.

Deshmukh was under watchful observation and scrutiny by the elected members of the Central Board of the bank, particularly Purshotamdas, who was greatly respected both by the public and by the government. Deshmukh writes how 'very, very cautiously he formed a favourable opinion about me, which was a sort of guarantee that the business world of Bombay was prepared to accept me in the position to which it was hoped by my sponsors, Taylor and Raisman, I would be elected at the proper time, i.e. October 1941.'[7]

In the first quarter of 1940, Taylor spent a few weeks in England consulting with the Bank of England over wartime problems. He had arranged for Deshmukh to be attached to the Bank of England later in the year so that he could get the feel of central banking. Deshmukh went to England and met Montagu Norman, the acknowledged leader of central bankers in Europe. He also met bank officials, bankers, brokers, and leaders of finance houses during his course of orientation at the old lady of Threadneedle Street. This was the time when London was being bombed by Germany but according to Deshmukh business went on as usual and air-raid warnings created little stir. 'My period of exposure to the arcana of Central